

The world's consumers are sitting on piles of cash. Will they spend it?

Households look set to power the economic recovery—especially in America



Introduction to Economics

Chapter 10

The Rational Consumer

Rational Choice Theory

Individuals rely on rational calculations to make rational choices that result in outcomes aligned with their own best interests

Utility

A measure of happiness or consumer satisfaction

Personal Saving

post-tax income - consumer spending



Big question:
Can modern society "repeat the post-war
trick, with pent-up savings powering a rapid
bounce-back"?



There is certainly enough cash for a consumer-led boom.

Without the pandemic, it was estimated that households would probably save \$3trn in the first 9 months of 2020

With the pandemic, they saved \$6trn.

Excess saving = ~\$3trn (1/10 of annual consumer spending)

United States: over \$6trn excess savings
→ President Joe Biden's \$1.9trn stimulus plan



This is not the norm.

During recession, Income usually fall → paycut or unemployment

But governments have invested immense fund to prevent deeper economic recession: “5% of their combined gdp on furlough schemes, unemployment benefits and stimulus cheques”

Result

Household incomes rose during pandemic time, while opportunities to consume were reduced drastically (lockdowns, government campaign for social distancing, etc.)

What will households do with their excess savings?

Two Extremes

Spend all

VS

Spend none

GDP growth may exceed 10% in 2021

Overwhelmingly quick economic recovery

→ “Surge in inflation”

Continuation of recessions or slow economic recovery

Predict their tax payments would eventually rise

→ Governments must cover substantial amounts of money for their stimulus packages

Reality: “Somewhere in between”

JPMorgan Chase Bank:

“consumption will soon rebound to near its pre-pandemic level, powering a strong global recovery”

Goldman Sachs Bank:

“the spending of excess savings will add two percentage points to gdp growth in the year after full reopening. That points to a fairly rapid recovery in both output and employment.”

Organisation for Economic Co-operation and Development (OECD):

“forecast for gdp growth for the g20 group of countries to 6.2% in 2021, arguing that household savings represented ‘pent-up demand.’”

Deciding factors

- 1) How are the excess savings distributed across households?
- 2) Will people treat the excess savings as income or as wealth?

1) Distribution

Skewed towards the wealthy

- Possibility of unemployment low
- Decline in spending → Limited opportunities to consume non-basic goods and services (travel, dinning out, etc.)

No excess savings in low-income levels

- Compared to poorest, richest European households 2x more likely to increase savings
- In Britain and Canada, unprivileged households claim to save less

Inference: “post-lockdown spending bonanza” is unlikely.

Check out my checking account

United States, median household
current-account balance, % change on a year earlier



Source: JPMorgan Chase Institute

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America is an Exception

Distribution of excess savings skews towards low- and moderate-income earners.

- Generous fiscal stimulus
- Unemployment benefits

“people who lost work have earned more from the state than they did in their jobs”

JPMorgan Chase Institute

(late December 2020)

Poorest' account balances: ~ 40% ↑

Richest' account balances: 25% ↑

America is more likely to experience
consumer-led economic recovery

2) Income or Wealth?

For immediate consumption, income (pay rise) is more influential than wealth (rise in the value of their house)

→ When excess saving is considered “additional income,” consumers are more likely to increase spending.

Difference between countries

Britain and Eurozone spending cutbacks = increase in wealth

America and Japan stimulus payouts = increase in income

Reflection + Discussion Questions

1. Was government spending to prevent deeper recession (due to the covid-19 pandemic) a mistake? Why?
2. Would American households spend all, some, or all of their excess savings? Why?
3. Does the Korean public perceive excess savings as income or wealth? Why?

Thank you!